Chapter 9

MOMENTUM CONSIDERATIONS

"Momentum" is the word market analysts use to denote the speed and breadth of progress or regress in a market. Speed is measured by rates of price change, while breadth is determined by the percentage of markets subsumed by the larger one that are participating in the overall trend. A market's momentum status is extremely valuable information because momentum in markets is not random, but patterned.

The real value of momentum studies is in their confirmation or challenge of an Elliott Wave analysis. Momentum studies on their own are substantially unreliable because without the Wave Principle, an analyst has no way of knowing the degree of the top or bottom expected. He therefore has difficulty in assessing what momentum characteristics should be considered "normal" under the circumstances.

OVERBOUGHT/OVERSOLD

Markets respect loose limits of trend persistence that are commonly labeled "overbought" and "oversold" levels. This concept has proved useful at both major and minor market junctures. An example of a major trend juncture that was supported by an oversold condition was that of the second half of 1982. In December of that year, *The Elliott Wave Theorist* showed a chart reproduced here as Figure 9-1, and presented this commentary:

> Is such a super bull market really likely from here? There are plenty of reasons to answer "yes," but here's one that is strictly technical. This chart shows a 20-year forward-weighted rate of change plotted with the Dow Industrial Average. As you can see, the extreme "overbought" level reached in 1929 was fully corrected by the crash into 1932. Similarly, the overbought level reached in 1966 *has now been entirely corrected by the long sideways trend that finally ended in 1982*.

Elliott Wave analysis was crucial to this conclusion, because it was certain that the 1966-1982 corrective process was a wave of